Comments on Bank Depth Index (I would change it in the document from Financial Depth as Financial Depth is much broader than Bank Depth – they could be correlated – but I would think that Financial Depth could include insurance, asset managers etc.:

I don't have a lot to say on this subindex; you all have done a good job assembling data and indices that may proxy for Bank depth at a country level. Here are a few comments:

1. I am not sure I understand the first metric "World-Bank 5 Asset concentration"; what is the underlying hypothesis? That concentrated banking systems lack depth? I would disagree with such assessment; a counter example is the US.
2. Several of these metrics are linked to country development. I understand that country development would be likely associated with bank depth. But it might be good to try to somehow scale/control for GDP or something like that. For example, bank branches per 1000 people may just reflect how rich the country is.

Comments on Bank Stability Index

Again, I would commend you for your efforts to assume metrics and gather data to reflect bank stability. Here are some comments:

1. I think something to add would be quality of regulation; I don't unfortunately know of data on this but perhaps this may be linked to country development, GDP/Capita etc. Of course, a counter example to this is the US and Switzerland. One coarse way would be perhaps to assign 0/1 if a country follows Basel III or not. Another is to look at enforcements (again I am not sure whether data exists across countries and over time).
2. There are also various other ratios/metrics that can be used for bank stability:
    a. For capital, I would use Tier 1/Risk-weighted assets (currently I believe you are using Total Capital to RWA) since Tier 1 is the most loss-absorbing capital for banks. Interestingly, the definition of Tier 1 has dramatically changed once Basel III came into effect (what makes it trickier is that not all countries phased-in Basel III at the same time and/or set rules as to which banks should follow them -commonly the largest).
    b. Regarding a measure of liquidity I would also include the Basel III metric of LCR (Liquidity Coverage Ratio) which equals "HQLA (high quality liquid assets)/Total Net Cash Outflows for 30 days which should exceed 100% to be compliant.
    c. Another liquidity metric that is commonly used is the ratio of "Loans to Deposits" as well as the simple "Cash to Assets".

d. A broader issue is that the stability of the banking system does not depend on small banks – there is probably room for many small banks to fail and the system be very stable. You may be controlling this somehow but couldn't tell. I would focus on the "Too-big-to fail" banks for each country – perhaps the top 5 or so though I admit this is arbitrary.
e. For credit quality additional measures would be NCOs/Total Loans (this ratio uses the actual charge-offs as opposed to NPLs). Another ratio would be the "Coverage ratio" which is "Reserves/NPLs") -this gives you a sense of what percentage of NPLs are covered by reserves.
f. A measure of profitability of the banking sector would also indicate higher stability (though this too needs to be caveated). Common measures would be ROE and ROA.

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https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2799339